Introduction to Social and Solidarity Economy

Chapter 6 – The generation of Social utility and social impact

"Introduction to Social and Solidarity Economy"

RULE Course, Phnom Penh

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Introduction

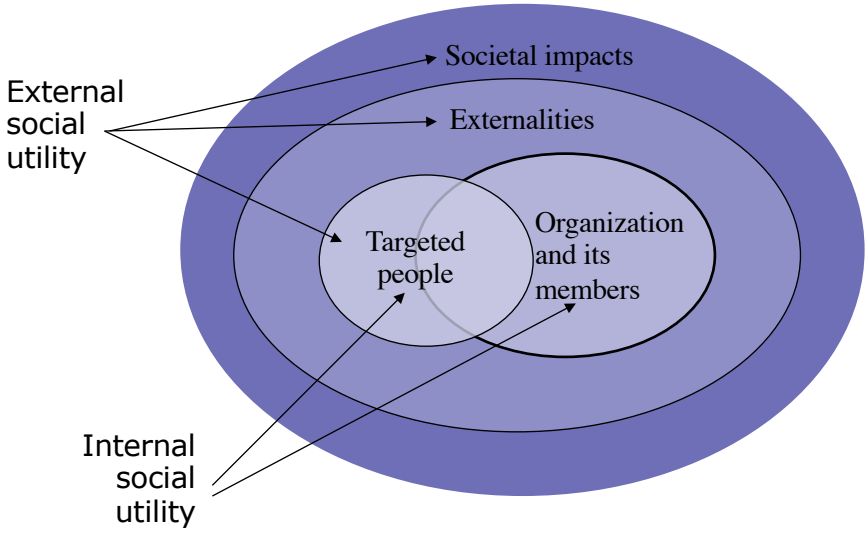
- Is there something that SSE generates and that is not produced or generated by ordinary businesses?

Plan:

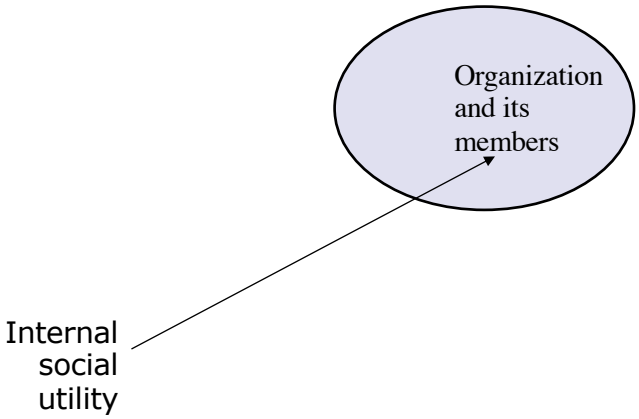
1. SSE as a producer of **social utility**
   → Social utility is here conceived as a concept that unveils the qualitative contributions of SSE
2. Rise and difficulties of a conception of SSE in terms of **social impact**
   → Social impact is here conceived as a concept that entails a measurement (=a quantitative evaluation)

1. SSE as a producer of social utility

- What are the specificities of SSE?
  "Social utility" seems an interesting concept to analyze them.
- SSE organizations may provide a Social Utility at 4 concentric levels...



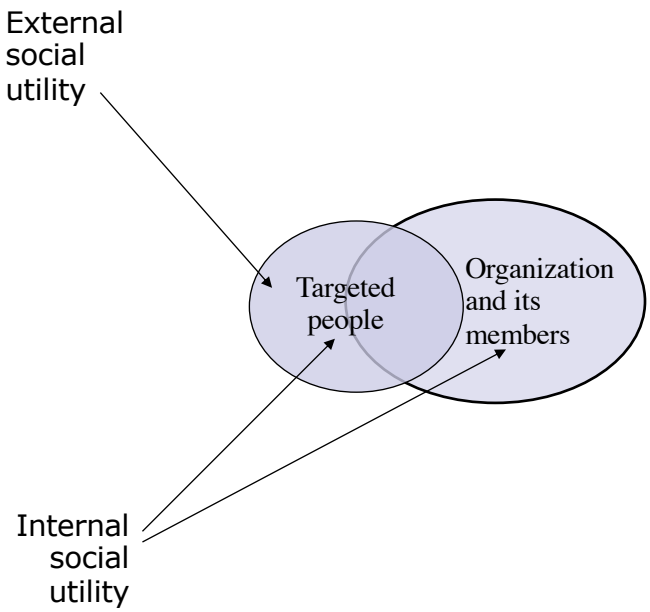
1.1- Internal Social Utility…
for the organization itself and its members



1.1- Internal Social Utility…
for the organization itself and its members

- Many SSE organizations firstly aim at providing a specific utility to their members or their staff:
  - ✓ mutual societies (insuring reciprocal help),
    cooperatives (built by and for members as workers, professionals…),
    social enterprises,
    some associations
- The **internal rules** of the organizations are at the origins of this SU
  - ➢ **Democratic or participatory governance** generates a greater commitment to the OSSE
  - ➢ **Collective reserves** (accumulated from profits) strengthens the OSSE
  - ➢ **Collectivizing** risks and resources protects members

1.2- Internal Social Utility…
for targeted people



1.2- Internal Social Utility…

for targeted people

- Here, the OSSE works to improve the utility of targeted people:
  - Children, women, poor, unemployed, sick, elderly, disabled…
- Such actions orientated to targeted people are justified by various theories:
  - John RAWLS: inequalities are acceptable **if** the poorest experience an improvement of their position
    → "positive discrimination" policies: policies that provide advantages to disadvantaged persons (e.g. in university access)
  - Amartya SEN: poverty comes from a deprivation of capabilities, *ie* the capacity to exert choices on key points of one's life
    → empowerment policies aim at improving capabilities

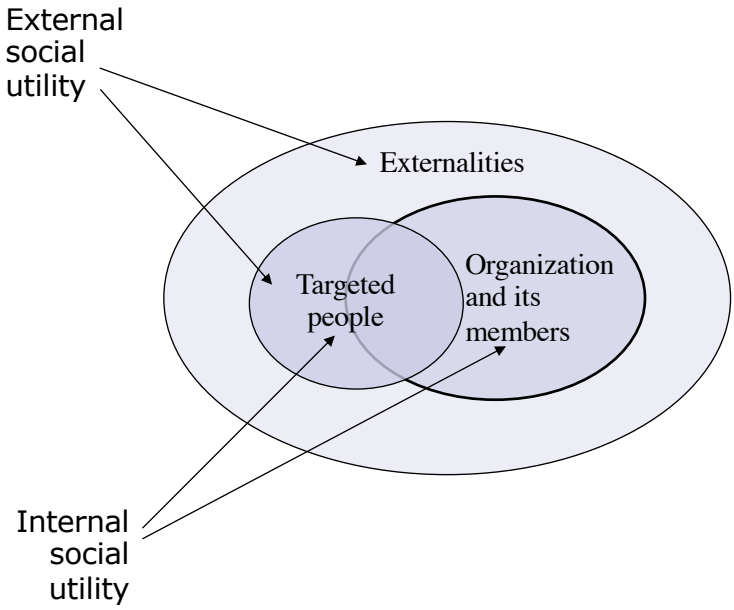
1.2- Internal Social Utility…

for targeted people

- Those activities are barely developed by profit-driven companies
  - But they can develop CSR policies, sometimes supporting OSSE
- Many OSSE (often Associations, Foundations, Social enterprises) generate such a Social Utility for targeted people:
  - Juridical support: aid to access to one's formal rights
  - Health care for the disabled, for street children, etc.
  - Alphabetical training
  - Microcredits
  - Vocational training, entrepreneurship training
  - …

1.3- External Social Utility…

through externalities



1.3- External Social Utility…

through externalities

- An old issue in economics: externalities
  - Externality =
    cost or benefit from an economic transaction,
    that agents, not being part of the transaction, receive anyway
- Negative externalities (pollution, climate change…) are more often considered than positive ones
- Talking of "social utility" refers to positive externalities possibly generates par SSE
- General principle: the producer of positive externalities tends to produce below its optimal level, since he is not compensated for this economy
  - E.g.: improving professional skills of the employees in a company could serve to another company

1.3- External Social Utility… through externalities

- What positive externalities does SSE provide?
  At least two:

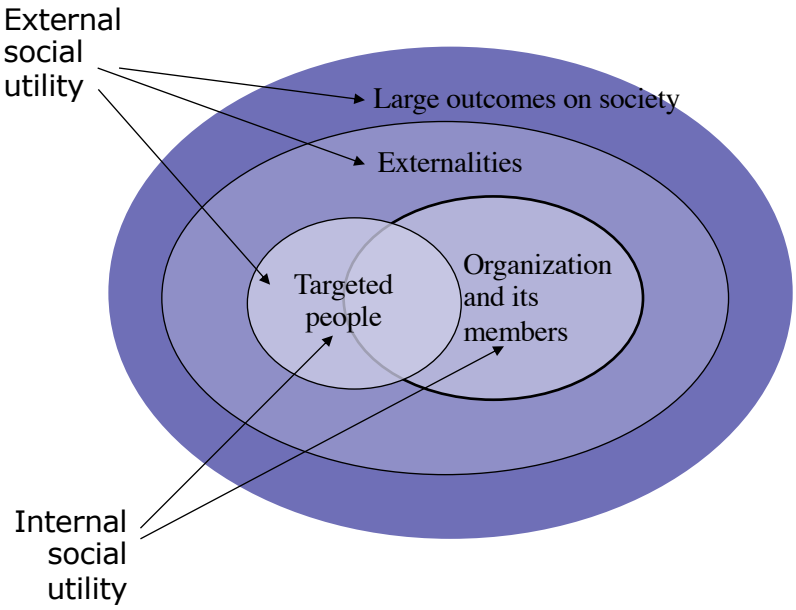
1. **Positive financial and well-being externalities**:
   Social inclusion, social support, self-help, aid, etc.:
   those activities provide:
   - Well-being, notably because they help empower people;
   - Indirect positive financial contribution on public finances:
     - Cost avoidance (for example, preventing health issues, social unrest, low productivity, etc., rather than correcting the problems after they occur)
     - Higher tax recovery (due to higher incomes, higher consumption…)

1.3- External Social Utility… through externalities

2. **Local development positive externalities**:
   SSE organizations (especially co-operatives and associations) contribute to local development through:
   - Empowering people (cf above)
   - Mobilizing and developing Social capital, i.e. partnerships and links between people and organizations at the local level
   - Developing territorially-anchored economic activities

✓ E.g. Employment and business cooperatives; PSE training; Community-based ecotourism…

1.4- External Social Utility…
through outcomes on society



1.4- External Social Utility…
through outcomes on society

- "Outcomes on society" are a less perceptible and more pervasive social utility.
- It notably comes from the system of rules integrated in the legal statutes of SSE
- These outcomes can take those forms:
  - Effects of empowerment and higher well-being, on social cohesion (public peace)
  - Effects of democratic and participative governance in SSE, on public commitment, leading to collective action
  - Effects of the local anchoring and the non-profit or limited profit orientation, on the human development in local communities
  - Etc.

Conclusion

- SSE organizations produce a Social Utility:
  - Other organizations certainly produce Social Utility too – *e.g. for-profit firms through CSR (corporate social responsibility)*
  - But SSE organizations can be considered as the ones that are created to produce such a Social Utility
- This leads to a logical consequence: in order to create social utilities in the whole society, it is legitimate to support SSE organisations
  E.g. through legal framework; through subsidies; partnerships…

2. Rise and difficulties of a conception of SSE in terms of "social impact"

- The terms "impact" and "social impact" are increasingly used since the years 2010
- A definition of "social impact":
  - "social impact is the **sum of all the consequences** (evolutions, inflexions, changes, ruptures) of an organization's activities **on its external stakeholders** (beneficiaries, users, customers), whether direct or indirect, and **on its internal stakeholders** (employees, volunteers), as well as **on society** in general"
- This seems close to "social utility", with a difference: the concept of "social impact" calls for measurement
- Below, 2 questions are dealt with:
  - Is "social impact" needed to get public or private support?
    - i.e. support through subsidies, grants etc.
  - Is "social impact" just assumed, or certified?

2. Rise and difficulties of a conception of SSE in terms of "social impact"

- 3 conceptions of social impact as condition to supports:

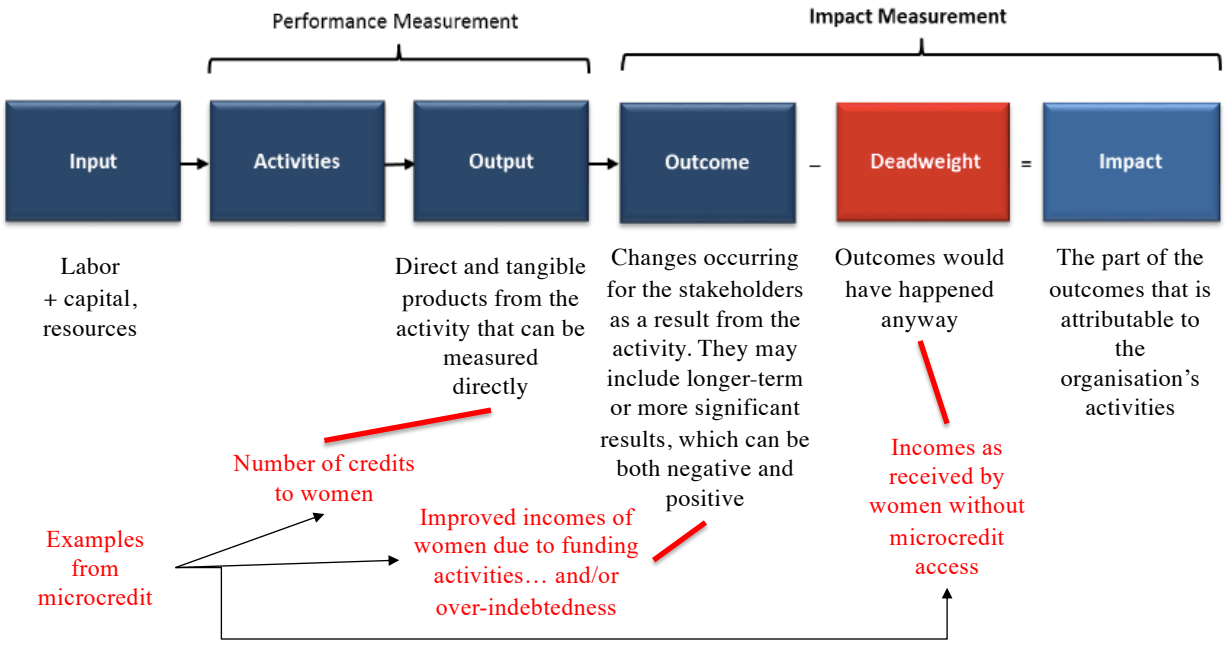
Conditions to public and private support	Contents	Strengths	Weak-nesses
1. Statutory approach: no evaluation	Impact is supposedly linked to statutes (C-M-A-F): statutes are considered sufficient to justify supports	Autonomy: OSSE don't have to prove anything	No control on activities
2. Project approach: ex ante evaluation	The evaluation of the project (*before* launching the activity) leads to supports (call for projects, grants, subsidies, public markets)	Framing: projects are framed and oriented by the preliminary formu-lation of the conditions for support by the funders	No control on effectiveness and efficiency
3. Activity approach: ex post evaluation	The evaluation of the activity (*after* its launch and operation) leads - to secure funding (for next time) - or get funding (ex-post to the activity)	Evaluation of impacts: - outputs - and possibly outcomes	Impact evaluation may require complex, costly and contested processes

Stronger require-ments and loss of autonomy

2. Rise and difficulties of a conception of SSE in terms of "social impact"

(Simsa et al., 2015)

- Impact refers to (short to long term) attributable outcomes:



2. Rise and difficulties of a conception of SSE in terms of "social impact"

- 2 main indicators for assessing impacts:
  - CBA – Cost-benefit analysis (calculating both)
  - SROI – Social return on investment (quantifying the social return in money terms, and expressing it in % gained from the investment)
- 3 difficulties in evaluating impacts:
  1) Complexity: comparing with a counterfactual
     - In order to say that an activity X generated the impact Y, it is necessary to think at *what would have happened if the activity had not been implemented*
     - This means that outcomes could have happened anyway (→ "deadweight" in the previous figure)
  2) Cost:
     - An extensive evaluation of impacts would require much resources and bureaucracy

2. Rise and difficulties of a conception of SSE in terms of "social impact"

  3) Possible contestation:
     - Evaluation of impacts through CBA and SROI require to get money values of non-monetary outcomes – such as improved health condition, social cohesion, etc.
     - There can be contestations of how these money values are evaluated
       - Example in the case of improving health or saving lifes with better access to health centers, care and medication: what is the price of one's life?

2. Rise and difficulties of a conception of SSE in terms of "social impact"

- Consequences of those difficulties:
  - Measurement of social impact is scarcely done in an extensive way, and more often done around a small set of simple indicators, and without counterfactuals
  - Instead of measuring (wide) outcomes, (limited) outputs are then more frequently evaluated
  - Eventually, social impacts are often stated without any measurement
- However, there are rising requirements from funders to get social impact evaluation
  - "Impact investing" and "venture philanthropy" especially require such measurement

Searching for cases / Social utility and social impact

- Questions on the investigated cases:
  - What categories of social utility can be identified? Which are the most important?
  - Do they state some kind of social impact? Is it measured, and how?